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Submitter Information

Email: [redacted]
Organization: Proof.com

General Comment

To Whom It May Concern,

Please see attached for Proof's comments in response to the administration's request for information regarding the development of an AI Action Plan.

Thank You

Attachments

3.14.25_Proof_RFI_Development of an Artificial Intelligence Action Plan

Proof

Notarize, Inc. (dba Proof.com)

National Science Foundation
Attn: Faisal D'Souza
2415 Eisenhower Avenue,
Alexandria, VA 22314

March 14, 2025

RE: Proof Comments on the Development of an Artificial Intelligence (AI) Action Plan

To Whom It May Concern:

Proof appreciates the opportunity to respond to the administration's request for information regarding the development of an AI Action Plan. Proof supports the administration's efforts to develop an AI Action Plan and define the priority policy actions that are needed to sustain America's global leadership in AI and ensure that the government's actions support future private sector innovation.

ABOUT PROOF:
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EMBRACING ADVANCED TECHNOLOGIES:
While recent advancements in AI have delivered significant benefits to both the public and private sectors, from increased efficiencies to the discovery of new medicines to fight disease, certain advancements in generative AI (GenAI) applications have supercharged fraudster's abilities to impersonate Americans, leading to an increase in fraudulent activity and direct harm to consumers.

In November 2024, the Financial Crimes Enforcement Network (FinCEN) issued a fraud alert[1] to financial institutions, acknowledging the risks that deepfake media generated by AI poses to both institutions and consumers. FinCEN stated that it had identified an increase in suspicious activity reporting involving the use of deepfake media to target institutions and consumers, including "altering or creating fraudulent identity documents to circumvent identity verification and authentication methods." In its alert, FinCEN acknowledged that its most recent data

[1] FinCEN, FIN-2024-Alert004, "FinCEN Alert on Fraud Schemes Involving Deepfake Media Targeting Financial Institutions," November 13, 2024

indicated that fraudsters have "successfully opened accounts using fraudulent identities suspected to have been produced with GenAI" and noted that those fraud schemes included "check fraud, credit card fraud, authorized push payment fraud, loan fraud, or unemployment fraud."

While the widespread availability of these technologies is still fairly new, the early warning signs of GenAI-enabled fraud risks are becoming increasingly evident. According to a study examining 17 deepfake-creation tools by the cybersecurity firm McAfee[2], "for just $5 and 10 minutes of setup time, scammers can create powerful, realistic-looking deepfake video and audio scams." Moreover, analysis from Deloitte's Center for Financial Services predicts that GenAI could increase fraud-related losses for financial services firms by up to $40 billion annually by 2027.[3]

Our collective defense against these increasingly sophisticated fraud attacks requires that the public and private sectors be permitted to deploy equally advanced countermeasures. As such, we encourage the administration to establish, where necessary, permissive regulations or regulatory sandboxes that allow critical industries to embrace new technologies specifically designed to respond.

We encourage the administration to review all existing policies and rescind any regulation that limits the private sector's deployment of technologies that assist in identifying and responding to suspected fraudulent activity. Such technologies include advanced identity verification and active fraud monitoring tools that leverage advanced algorithms to analyze data, identify patterns, and assist in decision-making.

Proof offers a range of solutions to assist industries in auto, financial services, healthcare, and real estate in preventing identity fraud across business practices. Active fraud monitoring and advanced identity verification tools, such as Proof's Defend and Identify solutions, are central to our role in preventing fraud and represent two areas in which the administration should encourage further adoption by the private sector.

Proof's Defend detects and reports fraudulent activity at every stage of a transaction by performing an automated analysis of various signals (including behavioral cues, telemetrics, and account ages). For example, evaluating the IP locations across devices participating in a session and comparing that information against a customer's claims may suggest that the customer is in an entirely different country despite stating they are in Boston, Massachusetts. Defend aggregates the identified risk signals seen across a transaction into a risk score, which provides a receiving party with greater insight into a transaction and empowers that party to investigate and take further action if necessary. Defend is purpose-built to detect traditional forms of identity fraud as well as emerging threats like synthetic identities and deepfake videos.

Proof's Identify is a customer identification tool designed to mitigate falsified records, forged signatures, and identity theft. Two notable technologies central to Identify include credential analysis and biometric selfie comparison. Credential analysis involves an automated review of the photo and information on a government-issued ID, which is analyzed for signs of alteration or forgery and authenticated. In addition to checking an identification document for its forensic features and looking for other signs of alteration or forgery, further analysis can be completed

[2] McAfee, "The State of the Scamiverse," January 2025
[3] Deloitte Center for Financial Services, "GenerativeAI is expected to magnify the risk of deepfakes and other fraud in banking," May 29, 2024

by checking the information against trusted data records (e.g., comparing a driver's license number against data from the issuing motor vehicle agency). Biometric comparison evaluates the biometric information on the evidence provided by the customer (such as a government-issued ID) against a live selfie image captured by the customer, verifying the individual's ownership of the claimed identity.

Given the range of threats facing the public and private sectors and the American people, the administration should encourage the continued availability of these solutions and others like them and take steps to encourage their use across critical industries.

IMPROVING THE CITIZEN EXPERIENCE IN THE AGE OF AI:
The risks of GenAI fraud are not limited to the private sector. The same issues of impersonation, forgery, and fabrication facing institutions and consumers have likely already exacerbated the issues of identity and application fraud that impact government assistance and benefit programs.

According to the Government Accountability Office (GAO)[4], the federal government is expected to lose between $233 billion and $521 billion annually to fraud. In more urgent times, such as during the COVID-19 pandemic, it is estimated that the government lost as much as $1 trillion[5] to fraud in delivering pandemic assistance. One of the more alarming instances stemmed from the Small Business Administration's (SBA)[6] two pandemic assistance loan programs, which have been estimated to have lost over $200 billion to fraud. At least $70 billion of this came from applicants with foreign IP addresses, including individuals with expected involvement in international criminal organizations, despite the program's availability to businesses located only in the U.S. or its territories.

Unfortunately, the threat of identity theft and fraud continues to impact government programs. In January, following the devastating Palisades wildfires, the Federal Emergency Management Agency (FEMA) issued a warning to wildfire victims of fraudsters filing unauthorized relief claims using personal information.[7] In recent testimony, the Managing Director of Financial Management and Assurance at GAO stated that "reducing improper payments and fraud is critical to better managing the cost of government," and the "amount of estimated fraud loss underscores the importance of prevention and need for federal agencies to manage fraud risks strategically."[8]

To respond, we encourage the administration to adopt identity-centric policies across federal government assistance and benefit programs to increase program integrity. Identity-centric policies are grounded in the commonsense principle that the individual who completes, signs, and submits something to the government has proven that they are who they say they are. For example, when a document is executed or submitted electronically, such as a SBA loan application, it should be digitally signed with a tamper-evident digital certificate tied to a verified identity.

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[4] GAO, GAO-24-105833, "Fraud Risk Management: 2018-2022 Data Show Federal Government Loses an Estimated $233 Billion to $521 Billion Annually to Fraud, Based on Various Risk Environments," April 16, 2024
[5] Rolling Stone, "The Trillion-Dollar Grift: Inside the Greatest Scam of All Time," July 9, 2023
[6] SBA, Office of Inspector General, "COVID-19 Pandemic EIDL and PPP Loan Fraud Landscape," June 27, 2023
[7] FEMA, DR-4856-CA NR 005, "Wildfire Survivors: Beware of Stolen Identity Fraud and Other Disaster Recovery Scams and Deceptions," January 18, 2025
[8] GAO, GAO-25-108172, Testimony Before the Subcommittee on Government Operations, Committee on Oversight and Government Reform, House of Representatives, "Agencies and Congress Can Take Actions to Better Manage Improper Payments and Fraud Risks," March 11, 2025

Digital certificates are based on Public Key Infrastructure (PKI) technology which underpins much of the security on today's internet. In document execution, digital certificates can be issued to signers only after they have successfully validated the existence of their identity and verified ownership of that identity. Existing federal policies and open standards are already in place to govern identity verification (e.g., NIST IAL2[9]), digital certificate use (e.g., AATL[10]), and authentication (e.g., NIST AAL2[11]), and the private sector stands ready to provide the government with the tools required to deploy them. In considering this approach, the administration must establish clear policies that enable humans to intervene to assist applicants when necessary. Various factors, such as limited familiarity with digital tools, user error, or system error, can make it difficult for some individuals to complete automated identity-proofing processes. NIST's latest IAL2 guidance[12] addresses these challenges and sets clear policies for the role humans serve as trusted agents that can assist applicants that failover, ensuring broad availability.

Additionally, digital certificates create a privacy-preserving approach to identity verification that supports ongoing data minimization efforts. Available solutions are designed to the latest data and cybersecurity standards and can be future-proofed with quantum-resistant cryptography to defend against developing risks. Furthermore, agencies can leverage existing commercially available solutions to set up automated submission gateways to enable seamless web-based execution to improve efficiencies and reduce errors. These solutions automate verifying document accuracy, confirming document integrity, validating digital signatures and certificates, and routing documents for manual review and approval when necessary.

Equally concerning is the vulnerability of official government documentation and communication to sophisticated impersonation from certain GenAI applications. Today, Americans lose millions of dollars to fraudsters impersonating the government.[13] With fraud-as-a-service solutions now available on the dark web,[14] bad actors can easily generate convincing government credentials, spoof official emails, and create deepfake audio clips. AI applications can not only streamline fabrication but also expedite data collection, allowing fraudsters to efficiently harvest personally identifying information, contact details, and addresses from across the internet to create near-perfect impersonations of government officials and precisely targeted lists of victims.

These scams, which already pose a significant threat to the American people, especially vulnerable communities, such as the elderly, are being amplified by advanced AI capabilities.

A recent case in Maryland demonstrates the severity of this threat. One victim lost her life savings of $595,000 to a sophisticated scam in which the perpetrator successfully impersonated an FBI agent. The fraudster employed a comprehensive approach: using a real agent's name, spoofed email addresses, fake case numbers, official agency insignia, and manipulated phone numbers to appear as legitimate FBI office communications.[15]

[9] National Institute of Standards and Technology, "NIST Special Publication 800-63A," June 2017
[10] Adobe, Adobe Approved Trust List, last updated on May 24, 2023; ITU-T X.509: Public-Key and Attribute Certificate Framework; ISO/IEC 9594 Open Systems Interconnections; IETF RFC 5280: Internet X.509 Public Key Infrastructure Certificate and Certificate Revocation List (CRL); RSA Public Key Cryptography Standards (PKCS); NIST FIPS 186 Digital Signature Standard
[11] NIST, "NIST Special Publication 800-63B," June 2017
[12] NIST, "NIST Special Publication NIST SP 800-63A-4 2pd," August 2024
[13] Federal Bureau of Investigation, "Elder Fraud Report," April 30, 2024
[14] Thomson Reuters, "Fraud-as-a-Service: Creating a new breed of fraudsters," February 21, 2025
[15] The Washington Post, "She believed she was an FBI 'asset.' The scam drained her life's savings.," December 2, 2024

As recently as December 2024, the Treasury Department's Inspector General issued a consumer warning regarding fraudulent letters purportedly from the Bureau of the Fiscal Service. These letters falsely notified consumers about unclaimed funds and solicited consumers to authorize the release of funds.[16] This example highlights how easily fraudsters can replicate official government documents with convincing authenticity. Similar fraudulent communications exploiting agency letterhead or email domains have been identified across multiple federal entities, including Health and Human Services[17], the Environmental Protection Agency[18], and the Internal Revenue Service.[19]

The proliferation of fraudulent government communications undermines public trust in our institutions while placing American consumers at significant risk. To address this growing threat, we urge the administration to require all government agencies to adopt industry-leading content authenticity standards and digital watermarking technologies. These measures would ensure that all official communications include verifiable metadata indicating their legitimate source and provenance.

Existing open standards and commercially available solutions can guide the administration's actions, such as the Coalition for Content Provenance and Authenticity (C2PA)[20], which has been embraced by Adobe, Amazon, Microsoft, and others as the solution to GenAI-enabled fraud, forgery, and deepfakes. Any content produced in accordance with C2PA standards will be cryptographically signed and verifiable across the majority of internet services and business applications.

Whether it be an email to taxpayers or an agency alert in a national emergency, Americans need certainty in the content they receive from the government. Promoting these standards will give relevant parties and the public trust, prevent manipulation, and restore the public's confidence in our government.

IMPORTANCE OF STANDARDIZED DEFINITIONS:
Since the widespread availability of AI applications, hundreds of regulations and laws have been introduced at both the state and federal levels. While the scope of each proposal may be unique, the lack of consistency in how AI is defined is clear and has created a challenging regulatory environment for companies of all sizes, especially those in America's startup economy.

As such, we urge the administration to prioritize establishing a consistent definition of AI across the federal government, using the definition provided in the National Institute of Standards and Technology's (NIST) Artificial Intelligence Risk Management Framework (AI RMF 1.0).[21]

When considering AI regulation, precise definitions become critical, so it is important to acknowledge the nuanced differences within AI technologies. Systems relying on traditional machine learning algorithms function distinctly from newer generative models. The

[16] Department of the Treasury, Office of Inspector General, Fraud Alerts, "Unsolicited Phone Calls, Text Messages, or Emails Purporting to be from the Treasury Office of Inspector General, Office of Investigations, FinCEN, OFAC, the Treasury "Office of Legal Affairs", or even from the Secretary of the Treasury, are frauds," December 30, 2024
[17] Department of Health and Human Services, Office of Inspector General, "Consumer Alerts"
[18] Environmental Protection Agency, Office of Inspector General, "Fraud Alert: Notice of Violation Letter Phishing Scam," July 2024
[19] Internal Revenue Service, IRS Tax Tip 2024-63, "Beware of scammers posing as the IRS," July 29, 2024
[20] Coalition for Content Provenance and Authenticity
[21] NIST, "Artificial Intelligence Risk Management Framework (AI RMF 1.0)," See Page 1, Executive Summary, January 2023

administration should carefully avoid applying overly broad terminology that inadvertently groups decades-old established technologies with recently developed innovations, as this could subject industry to unintended regulatory burdens.

Furthermore, the administration can strengthen its support for innovative private-sector solutions by revisiting existing agency definitions of AI. Current definitions may unintentionally restrict the use of beneficial commercial technologies, such as advanced identity verification and active fraud monitoring tools. These solutions employ sophisticated algorithms to analyze data, identify patterns, and support decision-making processes that ultimately protect consumers and government programs alike.

CONCLUSION:

We thank the administration for the opportunity and consideration of the perspectives raised in our response. Should you require more information, please contact James Fulgenzi, Director of Government Affairs & Advocacy, at [redacted]

Sincerely,

James Fulgenzi
Director of Government Affairs & Advocacy
Proof